occasions when individual members of Parliament even came and apologized to me for being so harsh in the just concluded meeting and requesting me not to misconstrue their questions and comments. I never failed to be amused by the members' apparently high regard for me at an individual level and their eagerness to criticize the Reserve Bank as an institution as if I had nothing to do with the Reserve Bank's decisions and actions.

When it came to the standing committee meeting on Saradha, I was, as always, impressed by the concern shown by the members. I was even more impressed by how they zeroed in on the root of the problem by juxtaposing the regulatory gaps and confusion with the ignorance and poverty in Indian villages. My session with the committee spanned a wide range of issues, but at its core, the parliamentarians' question to me was: 'Why was the Reserve Bank sleeping at the wheel and allowing such frauds to go unchecked?'

I admitted to the committee that our balkanized regulatory structure in the non-bank financial space, straddling so many different regulators and regulations, was bewilderingly complex and confusing with regulatory overlaps and cracks. All of us regulators have a basic responsibility to protect the larger public from malpractices and frauds. At the same time, I emphasized to the committee that cases like Saradha were not so much the result of a regulatory lapse but of a policing lapse. Ponzi and pyramid schemes, no matter how they are camouflaged and marketed, are illegal. They operate below the regulatory radar, in part by taking advantage of our complex regulatory maze. We can comprehensively deter such frauds only by more stringent policing and prosecution. National-level regulators like the Reserve Bank and SEBI do not have the reach, penetration or the comparative advantage to effectively police such activities in the financial space across the vast hinterland of the country. It is state governments, with their local presence and vast police force, that have to be the bulwark of surveillance and deterrence. Regulators such as the Reserve Bank have a responsibility, of course, to work alongside state governments to disseminate financial awareness and to train their police and other vigilance personnel in detection and prosecution of financial frauds. As happens in